

ZNOTES.ORG

UPDATED TO 2022 SYLLABUS

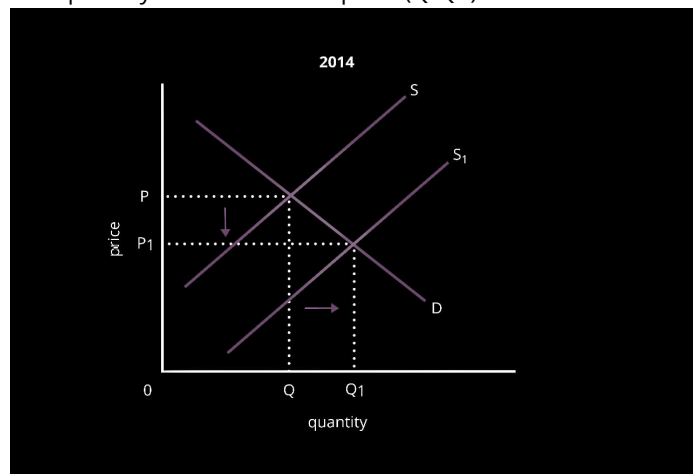
CAIE AS LEVEL
ECONOMICS
(9708)

SUMMARIZED NOTES ON THE SYLLABUS

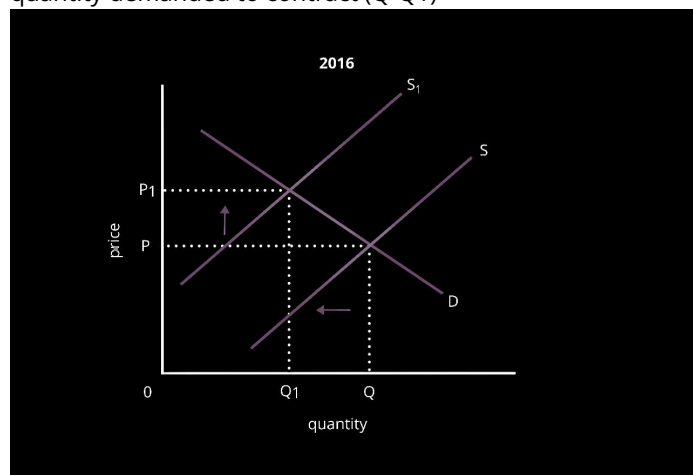
1. 9708/23/M/J/19

1.1. Section A

1a) Between 2015 and 2016, oil production in Nigeria fell by 0.9 barrels per day from 2.3 barrels to 1.6 barrels each day
 \n b) In order to successfully compete against the US, in 2014, the OPEC decided to increase its supply by 12% ($S-S_1$) which caused the price to fall by 60% to \$30 per barrel ($P-P_1$) and quantity demanded to expand ($Q-Q_1$) \n



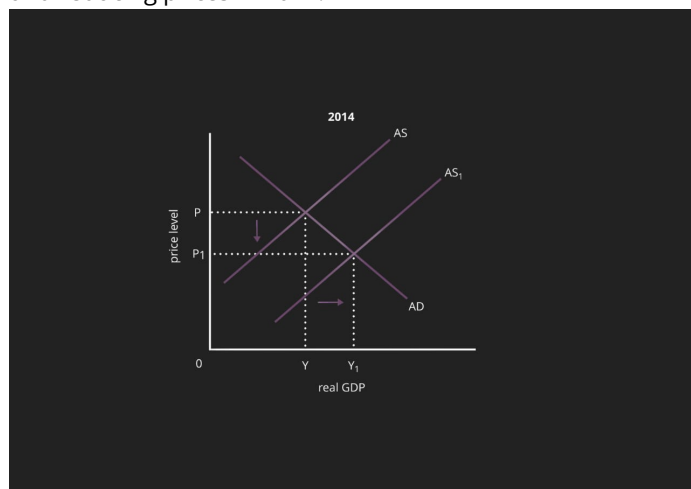
But, in 2016, as all economies in the OPEC were suffering due to falling oil revenue. OPEC decided to reduce its supply by 3% ($S-S_1$) which caused price to rise by 10% ($P-P_1$) and quantity demanded to contract ($Q-Q_1$)



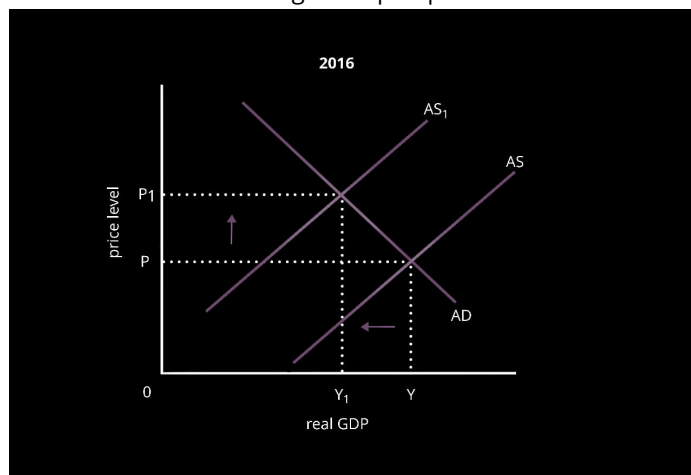
c) Inelastic demand is when percentage change in price is greater than percentage change in demand, *ceteris paribus*. A fall in world price of oil by 60% only caused a 45% fall in OPEC's revenue which shows that increase in demand was lesser than the fall in price was lesser than change in price, indicating inelastic demand.

d) Since quarter 3 of 2015, there has been a decline in the growth rate of oil production for Nigeria. Even after such a drastic decline in oil production, the Nigerian economy only contracted by 2% indicating that oil is not a significant part of the country's GDP. It shows that contraction in other, non-oil sectors which are of greater significance in the economy's GDP didn't have such a drastic decline.

e) The 2 major decisions of OPEC that has a large impact on the Nigerian economy included OPEC's policy of reducing its oil supply and increasing price in 2016 and increasing supply and reducing prices in 2014.



In order to remain competitive with the US, OPEC decided to increase its oil supplies and lower the world price of oil. This caused a rise in the total GDP of Nigeria, indicating short-term economic growth, high employment and living standards. But, as the world price of oil fell, Nigeria's export revenue fell drastically as 80% of its exports were oil which worsened its current a/c balance. Later, in 2016, due to revenue issues, OPEC decided to reduce its supply in order to raise prices. This causes a rise in export revenue for Nigeria as OPEC's oil demand is inelastic, improving its balance of payments disequilibrium. But, this led to oil producers lowering their supply and making workers redundant. That, in turn, increased unemployment and worsened living standards and economic growth prospects.



f) OPEC may be able to control the world price of oil as they supply half of the global demand of oil. They are a monopoly with approximately 50% of the market share. As even slight changes in their supply of oil, the entire world oil supply will be disrupted OPEC may be considered as a price marker. Also, when OPEC increased in supply by 12% in 2014, prices fell by more than 60% showcasing the effect of OPEC's supply decisions on the world, thus on price. But, in the future OPEC may not be as successful in altering and influencing world oil prices through changes in their supply, due to the development of a new method of oil extraction - fracking by

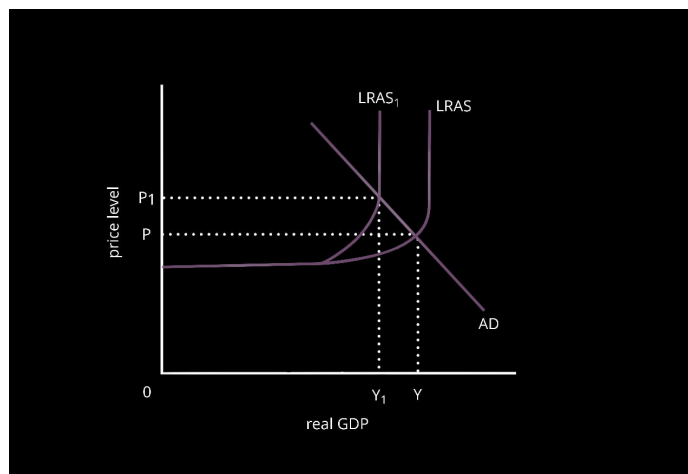
the US. This is increasingly growing in demand as it is cheaper than OPEC's market share will reduce and their ability to influence prices will also decrease. Overall, whether or not OPEC is able to influence prices depends on how effectively they are able to implement their policies to keep oil prices high. It even depends on how efficient OPEC is in maintaining its market share while the US develops their oil industry through the method of fracking.

9708/23/M/J/19

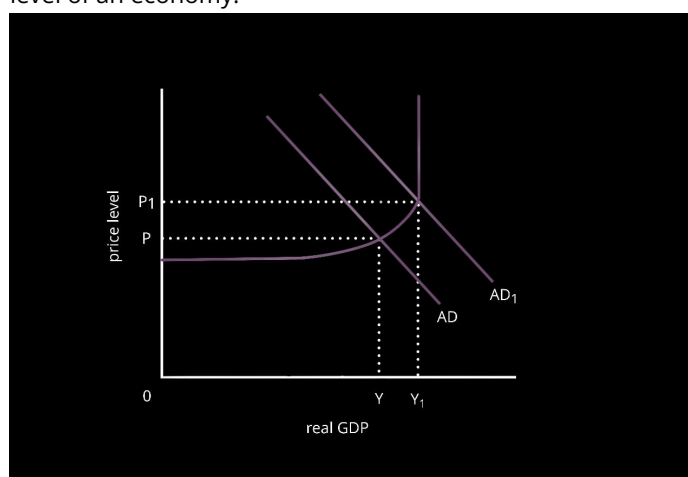
1.2. Section B

2a. Merit goods are goods which have positive side effects when consumed. Merit goods include education, health care, etc. They generate greater social benefits when compared to social costs. As information failure exists, consumers are not fully aware about the benefits of consuming them, which is why they are under consumed and hence, underproduced in an economy. As they are not produced and consumed at the socially optimal level, it causes market failure in an economy. Due to the existence of information failure, the government is encouraged to produce merit goods and provide awareness campaigns to help solve the problem of information failure, in turn helping increase their demand and supply. Demerit goods are goods which have negative side effects when consumed. Demerit goods include alcohol and cigarettes. They generate greater negative externalities in the economy. Due to information failure, consumers do not fully realise the negative effects of consumption of such goods due to which they are over consumed. This encourages producers to increase supply leading to overproduction. Furthermore, demerit goods are considered to be addictive in nature, making it difficult for consumers to lower its demand. As they are not produced at a socially optimal level, market failure exists and it encourages the government to intervene in the market by taxing demerit goods and providing awareness campaigns about their negative effects.

3a. Inflation is the sustained rise in the general price level of an economy. Inflation can be cost-push or demand-pull. Cost push inflation occurs when there is a rise in a firm's costs of production which encourages producers to increase prices leading to inflation.



For example, depreciation of a country's currency increases the price of imported raw materials, leading to a rise in total costs of production and encouraging producers to raise prices in order to maintain profit levels. Another reason for cost-push inflation to occur may be due to increased wage rates, greater than the rise in workers productivity. This leads to a rise in a firm's labour costs, increasing total costs, and leading to cost push inflation. Demand pull inflation occurs when there is a rise in any of the 4 components of AD - consumption, investment, government spending, net exports. This increased AD leads to an increase in the price level of an economy.



For example, a cut in income tax may increase consumers' disposable incomes and their purchasing power, encouraging them to increase spending, leading to a rise in the 'C' component of AD and causing demand pull inflation. Also, a fall in corporation tax and interest rates will make it easier for firms to borrow more and invest in expansion and purchase of capital equipment like machinery and advanced technology. This increases the 'I' component of AD, leading to demand pull inflation. Also, depreciation of a country's currency will make exports more internationally competitive as they will become cheaper. This will increase demand for exports, increasing the (X-M) component of AD, causing demand pull inflation.

3b. Inflation is the sustained rise in the general price level of an economy. It leads to a fall in the real value of money. A high rate of inflation can cause many internal and external problems for an economy. A high rate of inflation will cause an unplanned redistribution of income. During inflation,

people on fixed incomes like pensions and unemployment benefits suffer as there is a fall in purchasing power of money. This leads to a fall in their living standards which may lead to a rise in poverty levels in the economy. Also, during inflation, borrowers gain as they have to pay back less in terms of real money. Furthermore, if tax brackets are not adjusted for inflation, it can cause fiscal drag when individuals are forced to pay higher taxes due to increases in their nominal income which may not represent an increase in their real income. This will lead to a fall in purchasing power of such individuals, leading to a fall in average living standards. Also, high inflation rates lead to increased costs for producers in terms of menu and shoe leather costs. Menu costs occur due to the need to continuously change prices on menu cards, catalogues, etc. Shoe leather costs occur as firms keep moving in search of financial institutions which have an interest rate higher than the current inflation rate. This increases total costs of production for firms, which may act as a disincentive for producers to lower their supply, negatively affecting the country's GDP and employment rate as producers may make workers redundant in order to lower output. It will even lead to increased cost push inflation for the economy. Other than the internal problems an economy faces due to increased inflation, the economy will even have to suffer a fall in their export revenue. As prices rise, exports become expensive in foreign markets, leading to a fall in their international competitiveness, encouraging consumers to switch to other, low-cost countries. This will lead to a fall in export revenue, worsening the current account deficit. Also, as domestic goods are expensive, domestic consumers may start demanding cheaper imports, increasing import expenditure. This will further worsen the currency account deficit and increase the country's dependence on international trade. Moreover, a high inflation rate will lead to a depreciation of the country's currency as its demand will fall due to decreased demand for exports and supply will rise due to increased demand for imports. Overall, a high and increasing rate of inflation is harmful for an economy and the government must control it. The most serious problems faced by an economy as a result of inflation may be external problems like fall in international competitiveness and depreciation of the currency as internal problems may be resolved easily by the implementation of fiscal and monetary policies. But a country does not have full control over external aspects making it difficult to control and resolve.

4a. The theory of comparative advantage suggests that an economy must specialise in a product for which it has a lower opportunity cost when compared to other countries. Free trade occurs when movement of goods and services face no trade barriers like tariffs and quotas. Trading on the basis of free trade will allow a country to specialise and produce products they are most efficient at producing. This allows maximization of limited resources - land, labour, capital & enterprise. This further helps increase global output and employment in turn improving living standards and lowering poverty. Trading on the basis of comparative advantage allows a country to consume outside their PPC curve by trading with other countries for products they are not

efficient at producing. This further helps improve living standards across the globe. Also, specialising in a single product will allow the industry to grow and increase output to benefit from economies of scale like purchasing economies. This helps them lower costs and improve the quality of products produced. Also, trading on the basis of free trade will allow a country to be able to import high quality raw materials more cheaply, helping lower costs and leading to a fall in prices. This will lead to consumers enjoying cheaper and high quality products. But, the theory of comparative advantage ignores the exchange rate fluctuations which can cause a change in comparative advantage. This will make it difficult for a country to specialise in the production of one good/service.

2. 9708/23/M/J/20

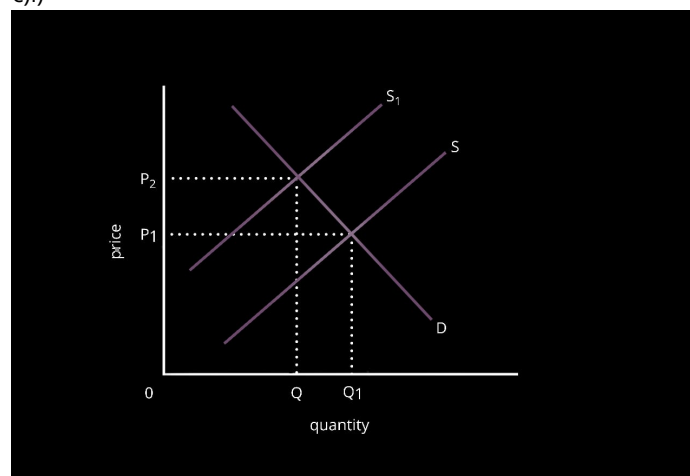
2.1. Section A

1a) Plastic bottles are considered private goods as they are both excludable and rival. This occurs as plastic bottles have a charge on them, making it excludable and also are limited making them rival in nature. Plastic bottles are even considered as demerit goods as they are over-consumed and over produced due to information failure. Also, the consumption of plastic bottles leads to negative externalities like death of marine animals

b)i) A specific tax is an indirect tax that is fixed per unit purchases. For example, \$1 per bottle of alcohol purchases. An ad valorem tax is a type of tax where a fixed percentage of tax is charged on the total price for the product. For example, GST, VAT.

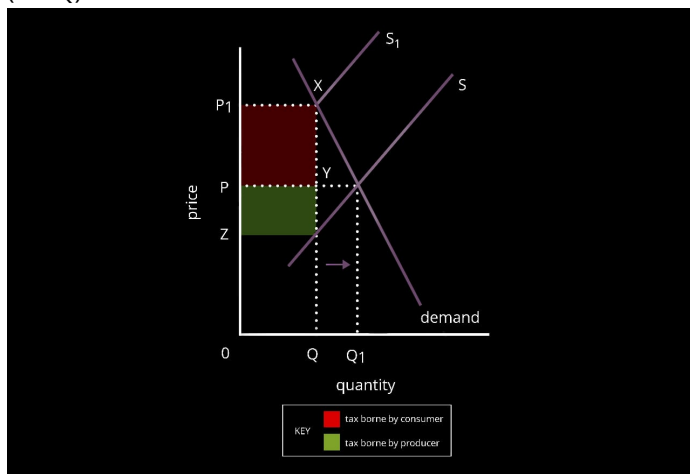
ii) The bottle tax the government is planning to impose is a mix of both specific and ad valorem tax as there is a fixed amount on each bottle, \$0.10, however it even depends on the size of bottle purchased (1l, 2l)

c)i)

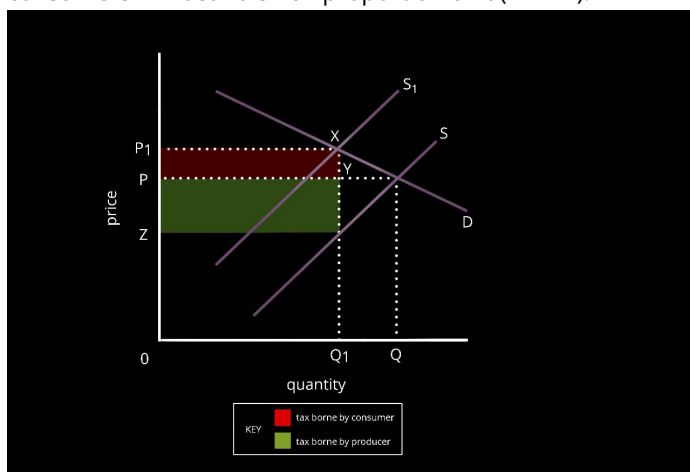


Imposition of a bottled tax on plastic bottles caused the supply curve to shift to the left ($S-S_1$) as costs of production rose. This caused a price rise (P_1-P_2) leading to a contraction in quantity demanded ($Q-Q_1$)

c)ii) The incidence of the bottle tax will depend on the price elasticity of demand of plastic bottles. When the PED of plastic bottles is inelastic, that is percentage change in price is greater than change in demand, an imposition of tax (S-S₁) will lead to consumers bearing most of the tax (P₁XYP) when compared to producers bearing just a small proportion of it (PYZQ).



Whereas, if demand is elastic, that is percentage change in price, producers will bear most of the tax (PYQZ) whereas consumers will bear a small proportion of it (P₁XYP).



d) A tax is a charge imposed by the government. If the government taxes plastic bottles, it may be successful in reducing the consumption of plastic bottles as it will become expensive to buy it. It will be effective in reducing its production as it will become expensive. This will reduce the over-production and consumption of the demerit goods - plastic bottles. It will further help reduce the negative externalities caused by it like the threat to marine life. Also, imposing this charge will raise government revenue allowing them to spend this in reducing the negative externalities created by the production and consumption of plastic bottles.

But, the effectiveness of imposing the bottle tax will depend on the PED of plastic bottles. If plastic bottles have inelastic demand, an imposition of tax will be less likely in lowering its usage and negative externalities it causes. Also, it depends on the size of tax. A small tax may not be passed on to consumers, having no effect on consumption of plastic bottles. Instead, the government should aim to raise awareness regarding the negative effects of plastic bottles as

this is likely to be more effective in reducing its consumption and production in the long run.

9708/23/M/J/20

2.2. Section B

2)a) Price elasticity of supply (PES) is a numerical measure of responsiveness of supply to a change in price.

$PES = \frac{\% \text{ change in quantity supplied}}{\% \text{ change in price}}$

In the short run, producers expect the PES of the new smartphone to be 0.8, which means it is inelastic. This means that change in price is greater than change in quantity supplied. The PES may be inelastic in the short run because producers may not be flexible. This may occur as suppliers may not have access to advanced technology and productive labour. This makes it difficult for producers to quickly respond to change in demand and price, making PES inelastic. Also, in the short run, it will be difficult to alter the productive capacity of the firm as only the quantity of labor can be changed. Supply may be more inelastic if there is little/no spare capacity for the producer to increase production of smartphones in the short run as it is difficult to increase the productive capacity of the firm. But, in the long run, producers expect the PES for this smartphone to be, 1.5, elastic in nature. This means that a change in price is lesser than change in quantity supplied. The PES may be elastic in the long run due to technological advancements. Access to advanced technology may make the production process more efficient and flexible, allowing producers to quickly respond to changes in demand and price. Also, in the long run, more producers may enter the market, increasing competitive pressure and encouraging them to be more responsive to change in demand and price, making PES elastic. Furthermore, supply may have become elastic as factors of production may have become more geographically and occupationally mobile, making it easier for producers to quickly alter production by employing more resources.

2b) price elasticity of demand (PED) is a numerical measure of responsiveness of demand to a change in price. Cross elasticity of demand (XED) is a numerical measure of responsiveness of the quantity demanded of A to a change in price of product B. Knowledge about PED may be very beneficial to a manufacturer. It will allow the producer to set prices and change them in order to raise revenue. For example, if demand is elastic, a firm will want to maintain low prices or further lower prices from existing levels as it will increase revenue. This is because change in demand will be higher than change in price. Information about PED will even help a firm implement a price discrimination policy to different consumers based on differences in their PED. So, this will allow the smartphone producer to maximise revenue from every consumer group. For example, children/elderly are likely to have elastic demand, charging them lower for smartphones and business people may have inelastic

demand, encouraging producers to charge them higher. Knowledge about XED will help a business identify its competitors. It will help the smartphone producer understand the effect of a change in competitors strategies, to that of sales of their smartphone marketing and promotional strategies and help understand how effective they will be when compared to that of competitors. XED will even help producers understand complements of their smartphones like earphones, chargers, encouraging them to expand their production and profits. But, both PED and XED calculations are based on the ceteris paribus assumptions which may not stand true in real life. Also, they are based on past calculations, which may not be accurate representations of future market conditions, given the dynamic structure of the markets. Overall, for a smartphone manufacturer, I believe knowledge of XED will be of greater importance as it is something that the smartphone producer doesn't have control over. However, PED is something the producer has direct control over, in terms of how they devise their pricing strategies. They do not have control over their competitors actions.

3a) Inflation is the sustained rise in the general price level of an economy. A high rate of inflation means domestic goods are less internationally competitive as their price is high. This means that demand for exports is low, leading to fall in demand and sales for producers from foreign markets. Also, a high rate of inflation will increase a producer's menu costs as they will have to keep altering prices on menu cards and catalogues. This will lead to a fall in profits for the business. Also, inflation will encourage workers to press for higher real wages, leading to higher costs of production. This will cause a wage-price spiral where inflation will lead to further inflation. Also, a very high rate of inflation creates uncertainty in the economy making it difficult for producers to plan ahead in terms of investment in capital goods like machinery and advanced technology. Inflation leads to a fall in purchasing power, making it difficult for people on fixed incomes like pensions, savings to fulfil their daily requirements causing a fall in their living standards and rise in poverty. Also, it increases shoe leather costs as savings keep moving their money in search of banks with interest rates higher than the inflation rate. Also, if tax brackets are not adjusted for inflation, it leads to fiscal drag. This means that workers are forced into higher tax brackets due to a rise in their nominal income which leads to a fall in their real incomes, lowering purchasing power and standards of living.

3b) Inflation is the sustained rise in the general price level of an economy. Interest rates are a reward for saving and a cost for borrowing. These are implemented as a part of the government's monetary policy. Increasing interest rates is a part of the country's contractionary monetary policy which may be implemented to overcome inflation. When interest rates rise, incentives on savings and costs of borrowing increase. This encourages consumers to save more, lowering spending. This in turn, reduces the 'C' component of AD, contributing in lowering demand-pull inclination. Plus, as the cost of borrowing rises, consumers borrow less leading to a

fall in their purchasing power. This, further, reduces AD and lowers demand-pull inflation. Also, when interest rates rise, businesses reduce their investment as cost of borrowing increases, leading to a fall in the 'I' component of AD, lowering demand-pull inflation. Furthermore, with increased interest rates, the amount of hot money flowing into the country rises as return on investment is high. This leads to a rise in demand for the country's currency, leading to its appreciation. This will, in turn, make exports more expensive, leading to a fall in their demand. It will help lower the (X-M) component of AD, reducing demand pull inflation. But, using interest rates as a method to correct inflation may not always be effective. When interest rates rise, businesses face higher production costs as costs of existing loans increase. This encourages producers to raise prices in order to maintain profit margins, causing a rise in cost-push inflation. Also, increased interest rates encourage businesses to postpone investment plans as borrowing becomes expensive. This leads to reduction in the productive capacity of the economy, leading to fall in GDP. Also, rising interest rates is an expenditure reducing measure, aiming to lower AD, which means it slows down the growth of the economy. This encourages producers to restrict supply and make workers redundant, leading to increased unemployment and the risk of recession. Overall, interest rates may be effective in reducing inflation in the short run, given that it was high and unexpected inflation, when compared to supply side policies as they have a very long time lag of 12-18 months, they are a quicker measure than supply side policies. Although, the effectiveness of interest rates depends on the type of inflation. Higher interest rates will help overcome demand pull inflation but will exacerbate the problem of cost push inflation. In order to tackle cost push inflation, supply side policies should be used.

4a) Comparative advantage is a situation where a country can produce at a lower opportunity cost than another country. Free trade is when international trade is not restricted by tariffs and other protectionist measures. The theory of comparative advantage only looks at two goods/services, which may not be realistic as an economy may produce a wide range of products and trade them internationally. Also, this makes it impossible for a country to identify its comparative advantage in just one product. Furthermore, to identify the one product, the economy will have to calculate its opportunity cost for every good and service it provides which is impossible and not cost effective. Plus when identifying the comparative advantage of a country, transportation costs of exporting it to another country is ignored. Whereas, for free trade to occur, transportation cost is one of the most important factors. Also, the theory of comparative advantage doesn't include exchange rate fluctuations. Appreciation or depreciation of a currency may alter the comparative advantage as appreciation may make it internationally more expensive. Plus, depreciation will make imports expensive, altering the costs of production as imported raw materials become expensive, increasing the opportunity cost. Also, if a country

trades and specialises in a product with its comparative advantage, the industry may face diseconomies of scale which will raise a firm's production costs and increase its opportunity cost. This is ignored while identifying the comparative advantage.**

4b) Tariff is a tax imposed on imports. Through the imposition of tariffs, sun-rise industries in the US like technological products and declining industries in China like soya beans will benefit as they will not have to face intense, international competition. It will allow the infant industries in the US like technological products to grow and eventually develop a comparative advantage. This will help improve GDP, employment and current account balance in the long run. Also, imposition of tariffs on soya beans will help slowdown decline of sun-set industries in China, helping avoid a rapid fall in GDP and rise in unemployment. Also, through imposition of tariffs, the US and China will be able to avoid dumping and other unfair trade practices, allowing domestic producers to grow and benefit from economies of scale in the future. Also, imposing tariffs will allow the US to protect its strategic industries like steel from foreign competition, which is a necessary good for the economy. Furthermore, it will help both China and the US to reduce their current a/c deficits as imposing tariffs will make imports expensive, lowering their demand. Plus, doing so will generate revenue for the government allowing them to spend it on education, healthcare and infrastructure, further helping expand the country's productive potential. But, as both the countries are utilizing the free trade mechanism, their consumption will be limited to their domestic production capacity. As they are not trading on the basis of comparative advantage, both the countries lose out the opportunity to trade outside their PPC boundaries and improve the average living standards of the country. Plus, exporters of both the countries will lose out as they will have access to limited markets. This will encourage them to lower their output, reducing GDP. Furthermore, they will make workers redundant, increasing unemployment. This will lead to a fall in incomes, increasing poverty and worsening the standard of living. Also, as both countries are not focusing on their best capabilities, they will not be able to fully utilize the scarce resources, indicating inefficiencies. Due to the existence of inefficiencies there is likely to be a shortage or surplus leading to market failure. Overall, from the imposition of tariffs, some people in China and the US will benefit, whereas some people in both countries will lose out. But, the level of benefits incurred depends on the involvement of both countries in international trade and their level of dependence on each other.

3. 9708/23/O/N/19

3.1. Section A

1)a)i) Between 2012 and 2015, India's inflation rate grew by a greater percentage (24.8%) whereas China's was relatively stable and had only a slight increase (6%) in its inflation rate.

ii) For BRICS economies like India, CPI may not be a very accurate measure of inflation as it only includes transactions in the formal economy. For a country like India, the informal economy will have a major proportion of the GDP, which CPI calculations do not include, leading to inaccurate results. Also, CPI doesn't include illegal transactions and the subsistence economy which will lead to undervalued GDP in developing countries like India as they will be major contributors to the total demand of the country, as well as the country's GDP.

b) Inflation is the sustained rise in the general price level of an economy. Inflation rates among the BRICS economies may differ due to differences in exchange rates. If one of the country's currency depreciates, the price of their imported raw materials will rise, where a fall in AS is greater than a fall in AD, increasing total costs of production and causing cost push inflation. Therefore, the country with a depreciated currency will have a higher inflation rate than other BRICS economies. Also, differences may occur due to differences in interest rates. One of the BRICS economies may have lower interest rates than others, increasing their AD as consumption and investment will rise. This will lead to demand-pull inflation in that country as AD will be greater than AS. In this case, the country with low interest will have a higher inflation rate than other economies.

c)i) China's terms of trade between 2015 and 2016 has worsened. The index fell from 117 to 93 by 24 points.

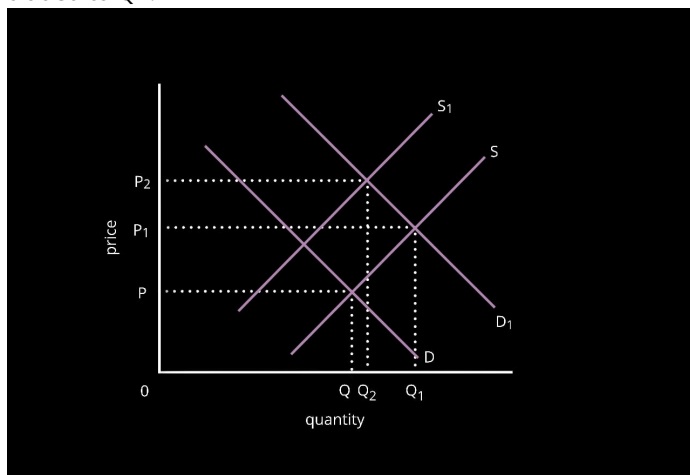
ii) The terms of trade may have worsened due to a depreciation of the Chinese currency. This might have caused export prices to fall relative to import prices, worsening the terms of trade.

d) There are various factors that determine how successfully India will be able to compete with China. One main factor is the inflation rates in both countries. If India's inflation rates are higher than China's, their goods are likely to be more expensive in international markets than China, lowering India's international competitiveness. The ability to compete even depends on the relative changes in exchange rates. If India's currency depreciates, its exports will become cheaper in international markets than that of China, increasing India's ability to compete and its international competitiveness. Also, the productivity of factors of production in both countries also influences their ability to compete as it will determine the quality of products and relative costs incurred in production. If India's factors of production productivity is greater than China's, the quality of their products will be higher, improving their international competitiveness. Overall, the most important factor is the elasticity of goods from China compared to the elasticity of goods from India.

9708/23/O/N/19

3.2. Section B

2a. Demand is the willingness and ability of a consumer to buy a product. Supply is the willingness and ability of a producer to sell a product. An increase in demand for chocolate caused a right shift in the demand curve from D - D_1 . This led to a rise in price (P - P_1) and an extension in quantity supplied (Q - Q_1) as producers found it more profitable to supply chocolates encouraging them to raise their supply. But, as supply of cocoa beans fell, which is an ingredient required in production of chocolate, suppliers were forced to lower their supply, causing a left shift in the supply curve from S - S_1 . As supply fell and demand rose, there was a shortage in the market. This led to a further increase in price, in order to establish an equilibrium point. But, its effect on quantity traded depends on the extent of change of both demand and supply following the changes. This led to a further rise in price to P_2 and fall in quantity traded to Q_2 .

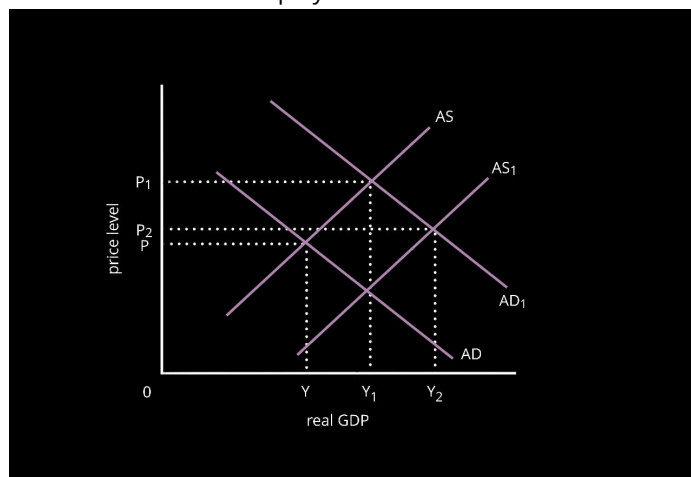


2b. Demerit goods are goods which have negative side effects when consumed. Chocolate may be an example of a demerit good. In order to reduce consumption of chocolate the government can use a variety of different policies. The government can impose an indirect sales tax on the production of chocolate. This will lead to an increase in total costs of production for chocolate producers, causing a left shift in the supply curve. This will in turn encourage producers to lower supply, further leading to an increase in price of chocolate for consumers. As it becomes expensive for both producers and consumers, consumption and production of chocolate may fall, reducing the negative externalities which are caused by it, like obesity and diabetes. But, chocolates are likely to be very addictive in nature, due to which their demand may be inelastic. This means that imposing a tax on chocolate may not help reduce its consumption as the percentage change in price will be greater than the percentage change in demand. This means that very few consumers will stop purchasing chocolates after an increase in its price, making the tax ineffective. The government can even choose to run awareness campaigns

on the internet and social media platforms to inform young children about the health problems with the over consumption of chocolate. Using social media may be highly effective as it will make it easier for the government to target the younger population and it will be much cheaper. Also, as the main reason for over consumption of chocolate is the information failure, it may encourage children to reduce its demand and switch to healthier substitutes. But, these campaigns may not always be effective. Their effectiveness depends on the government's ability to fund them and implement it in convincing and persuading ways. Overall, awareness campaigns may be a better method to help reduce the over consumption of chocolate as it will help tackle the direct problem leading to the overconsumption which is information failure.

3a. Aggregate demand is the total spending on an economy's goods and services over a given time period. $AD = C + I + G + (X - M)$. Aggregate supply is the total output that producers are willing and able to sell in a given time period in an economy. An increase in investment in the country's railways system will help increase AD as the 'Investment' and the 'Government spending' component rises. This leads to a rise in price, further leading to an increase in the real GDP of the economy. In order to increase GDP, producers will have to employ more people, leading to an increase in the employment rates.

An increase in investment on Indian railways will even cause a rise in the AS in the long run, as infrastructure in the economy improves. This will help lower the cost of production for businesses, encouraging them to increase output. As AS increases, employment in the economy will rise and there may be an increase in the price level. But, the extent to which the price rises in the economy depends on how close it is to full employment.



In the short run, increased investment will cause a shift of the AD curve (AD - AD_1) leading to increase in price (P - P_1) and output (Y - Y_1). In the long run, AS will increase (AS - AS_1) causing a fall in price level (P_1 - P_2) and a further rise in GDP (Y_1 - Y_2). Overall, with an increase in investment, both AD and AS will rise in an economy, which will lead to increased employment and GDP.

b. Privatisation is the sale of a state-owned public sector business to the private sector. Using privatisation for rail travel will help reduce government intervention in the

economy. It helps reduce the bureaucratic system of the economy and is a process towards a market economy. A privatised business is likely to be more efficient as their main aim is profits. Due to the competitive pressure, businesses will aim to minimize costs and increase productivity. This will further encourage them to lower prices, leading to higher consumer surplus. Also, it will increase the choice available to consumers as when privatised, it will face high competitive pressure. Plus, due to the competitive pressure, businesses will be encouraged to be more innovative and creative, enhancing the quality of service provided. Furthermore, selling of the railways will generate greater revenue for the government, helping reduce its opportunity cost. It will increase funds available to the government for spending on education, health care, etc. But, the privatised industry may be a monopoly, which may encourage it to exploit customers, employees and suppliers due to the lack of competitive pressure. This may lead to higher prices and fall in efficiency as the business may be a price maker. Also, the privatised industry may but consider the negative externalities and may not operate in public benefit. They may only consider the private costs and benefits, which will lead to higher social costs, causing market failure in the economy. Nationalisation occurs when governments take over a private sector business and transfer it to the public sector. A nationalised industry is likely to be a monopoly so it may enjoy economies of scale. This means that average costs for each rail trip will fall, leading to lower prices for consumers. Furthermore, it will consider all externalities in its decision making process. Before making any decision, the government is likely to conduct a cost benefit analysis and only make decisions which are in public benefit. But, due to lack of competitive pressure, it may be managed efficiently. Also, innovation will be discouraged due to which the quality of the railway service may be poor. Moreover, it will be funded through government revenue, due to which there will be an opportunity cost. The government could've used this money elsewhere, which could be of greater public benefit, like education and healthcare. Overall, it may be in the public benefit for the economy if railways are operated by the government as it is a strategic industry and be controlled by the government. Furthermore, it will avoid duplication of scarce resources like rail tracks, trains, etc. But, it depends on whether the privatised industry will be a monopoly or not.

4a. The current account is a record of the trade in goods, trade in services, investment income and current transfers within the balance of payments of an economy. A current account deficit occurs when the expenditure on imports exceeds the revenue earned from exports. A current account deficit may occur due to high inflation rates in the country when compared to other, competing countries. If this occurs, demand for the country's agricultural goods will fall as they will become more expensive due to a loss of international competitiveness. This will further lead to a fall in the total export revenue earned by the economy, leading to a worsened current account deficit. Also, as inflation rate is high, domestic consumers may find it easier and cheaper to import goods from other countries rather than purchase

them in the home country, leading to a rise in import expenditure, further increasing the deficit. Another reason for a current account deficit to develop may be a fall in productivity of factors of production. A fall in productivity will lead to an increase in the total costs of producing agricultural products, leading to an increase in the price and a fall in its quality. This will lead to lost international competitiveness, encouraging international customers to switch to competitors, leading to a fall in export revenue and worsened current account balance. Furthermore, if developed countries impose trade barriers like tariffs and quotas on the country's agricultural products, it will further increase their prices, causing a fall in demand. This will cause a fall in export revenue and therefore the current account balance.

4b. Current account deficit occurs when import expenditure exceeds export revenue. In order to reduce the current account deficit, the US government can implement fiscal, monetary or supply-side policies. In order to reduce the currency account deficit, the US government can adopt contractionary fiscal policy measures which includes increased taxation and reduction in government spending. Increase in tariffs will make imports into the US economy more expensive, encouraging consumers to lower spending on imports and switch to exports. As import expenditure falls, current account balance will improve. Also, increase in taxation will reduce consumers' disposable incomes helping lower their purchasing power. This will in turn lead to reduced spending on imports, lowering import expenditure and improving the balance of payments position. Furthermore, reduction in purchasing power will reduce domestic demand, allowing producers to increase exports. As export revenue increases and import expenditure falls, the current account will be improved. But, this is an expenditure-reducing method, which aims to lower AD, which will increase the risk of recession and bad deflation. If the fall in domestic demand is not offset by exports, there will be a fall in economic growth and rise in unemployment in the US economy. The government can even use contractionary monetary policies, which involves increased interest rates, reduction in money supply and depreciation of the currency. Depreciation of the currency will make imports more expensive in the domestic market and exports cheaper in international markets. As imports become more expensive, people will switch to domestic producers, lowering total import expenditure. Also, as exports are cheaper in international markets, international competitiveness will increase, leading to a rise in demand for the country's exports, increasing total export revenue. Increased export revenue and a fall in import expenditure will lead to a fall in the current account deficit, improving the balance of payments. But, it will increase the risk of inflation. As demand for exports rises, (X-M) component of AD will increase, leading to price rises and causing demand pull inflation. Increasing interest rates may also help reduce the current account deficit as it will make borrowing more expensive and increase the return on savings, encouraging people to save. As people's purchasing power falls, the C

component of AD reduces, leading to a fall in import expenditure. But, this is an expenditure-reducing method which may lead to recession and unemployment in the long run. The government can even use supply-side policy measures to reduce current account deficit. Supply side policy measures are designed to increase aggregate supply (AS). Supply side policy measures may include increased education and training, privatisation, deregulation, labour market reforms, tax incentives, etc. Increase in education and training helps improve labour productivity, improving the quality of output produced, leading to increase in international competitiveness. This will even lead to an increase in exports from the US, , improving their current

account balance. But, this will only be effective if the quality of education and training provided rises. Also, such policies are expensive and their effectiveness depends on the government's ability to fund them. Overall, the type of policy used by the US government depends on the cause of the current account deficit. A cyclical deficit is not likely to be a problem for the government, but a structural deficit will require government intervention to be corrected. Therefore, for a structural deficit, the government should adopt supply side policies because it will directly help tackle problems which are causing a fall in the country's international competitiveness.

CAIE AS LEVEL Economics (9708)

Copyright 2021 by ZNotes

These notes have been created by Ria Agrawal for the 2022 syllabus

This website and its content is copyright of ZNotes Foundation - © ZNotes Foundation 2022. All rights reserved.

The document contains images and excerpts of text from educational resources available on the internet and printed books. If you are the owner of such media, text or visual, utilized in this document and do not accept its usage then we urge you to contact us and we would immediately replace said media.

No part of this document may be copied or re-uploaded to another website without the express, written permission of the copyright owner. Under no conditions may this document be distributed under the name of false author(s) or sold for financial gain; the document is solely meant for educational purposes and it is to remain a property available to all at no cost. It is current freely available from the website www.znotes.org

This work is licensed under a Creative Commons Attribution-NonCommercial-ShareAlike 4.0 International License.